help if you have a method to make better financial decisions. Look around and you may find that people have a higher level of financial wellbeing because they have made better financial decisions over the years. They have developed greater control over the way their finances are deployed.

They have forgone instant gratification for higher benefits in the future. They have learnt about efficient financial planning and decision-making that has helped them build savings, reduce debt and create long-term wealth. In a sense, these decisions have helped them create financial resilience to enrich their life. Of course, one may argue that when one has a low income and high basic living costs, making the right financial decisions may not be always possible. In such cases, it will be harder to defer spending and save.

The only way to improve your future financial life is to increase income, which means investing in skills, training and qualifications that aid your work and can improve earning and value creation capability. Also, just because making certain decisions are difficult doesn't mean one should avoid them altogether. By deferring decision-making, you could be walking into a financial disaster with too many issues to handle.

Of late, there has been a rise in financial vulnerability, which has hit people's confidence in making decisions about money. A lot of it has to do with the pandemic that has shaken up lives and livelihoods. The fall in household savings rate to GDP in recent years is only adding to the pain of many people who are wary of taking any financial decision. Remember, your financial situation is unique to you, so what may appear to be right for someone else may not be right for you. Everything else being the same, a family with two children will have a different financial situation than another with just one child.

Certain financial decisions are beyond math and Excel sheets, so do not base your financial decisions solely on numbers. All of us wish to own a house, but every one of us will have different budgets and needs. So, while the decision to own a house is the same for all, how one goes about it would vary. One can think of similar unique situations faced by people when planning their retirement or holiday—which are all similar aspirations—but the quantum of money needed for these goals is different for everyone.

Financial decisions that might be "bad" for someone else may be right for you. The decisions you make with confidence (if you do a little work to understand yourself and your finances) may serve you better compared to others. In the following pages, we will explore four financial decisions that one normally tends to stumble over and how to navigate them by making better choices.

"BEWARE OF LITTLE EXPENSES. A SMALL LEAK WILL SINK A GREAT SHIP"
– Benjamin Franklin

"A BUDGET TELLS US WHAT WE CAN'T AFFORD, BUT IT DOESN'T KEEP US FROM BUYING IT"
– William Feather
***Entrepreneur and author of* The Business of Life**



1 SAVE OR SPEND

Someone wisely said that saving money is a more important skill than making it. Every day we decide between spending money for immediate reward, or deferring gratification. It is only the 17th of the month and Vineet Chandra is wondering where his salary went. The 25-year-old digital marketer with a leading FMCG firm in Bengaluru has been facing this situation for the past six months. "The date could be anywhere after the 17th when I suddenly realise that I am close to being broke," he says.

Unlike saving, spending comes easy. Mention savings, and the mind starts thinking of being thrifty and doesn't consider it a favourable move. Yet, to save money effectively, your mind needs to know what the savings is for. For instance, Arora's colleague Rajesh Garg earns the same as him but has saved Rs 1.2 lakh in the same period to fund his honeymoon, which is three months from now. Arora, in contrast, has been employed now for three years and has little to show by way of savings. In the absence of a clear purpose, people like Arora find it a challenge to save.

Youngsters today have choices with careers and life which makes them view savings as a low priority over spending. While easy credit makes many view savings as a less attractive prospect, it is something they should focus on. One should not get into a situation where a financial emergency forces us to ponder on what-ifs. In such situations, one